Scenario 1 – Sales system

You are a newly qualified CA working on the audit of Premiux Furnishings Ltd ('Premiux'). Premiux is a fast-growing company which sells a range of unique luxury home furnishings from their stores based throughout the UK.

You have been provided with the following information and have been asked to identify and evaluate key controls and design tests of control to verify whether the controls are operating effectively.

Customer orders

Orders are placed by customers, primarily through the company's online website. Once the order is submitted by the customer and payment is made, a unique sequentially numbered sales order will be created automatically in the sales system. One of the two sales managers carries out regular sequence checks looking for duplicate or missing sales order numbers which will be investigated if identified.

Any orders that are over £5,000 in total will be held as 'pending awaiting approval'. There are no access restrictions on who can approve these. Once approved, the system will keep a time log of the approval.

Despatches to customers

Once products have been picked by a member of the warehouse team, a GDN is created. The GDNs will be printed by the warehouse team and a check of the product descriptions and quantities between the sales order, GDN and physical goods will be made by a second member of the warehouse team prior to the despatch of goods.

The delivery of products is outsourced to a global courier company. Once delivered to customers, all orders must be signed for by the customer using a hand-held computer device. At the end of each week, the courier company will send the warehouse team a report of each of the customer deliveries made during the week and copies of the signatures received. This report is filed online with the GDN, however no check is made to match each delivery confirmation to its corresponding GDN to confirm that all deliveries have been completed.

Customer invoices and payments

Once confirmation of receipt of goods is received, an invoice will be emailed to the customer. Each sales order will be marked as status 'invoiced' once the invoice has been emailed and this will not allow any further invoices to be raised.

The ERP system automatically matches the sales order, GDN, invoice and customer payment received at the time of the order using the sales order reference number. An exception report will be generated automatically from the ERP system and any exceptions will be reviewed by the accounts receivable manager and corrective action taken as required.

At the end of each month, a reconciliation is performed between the sales listing and the general ledger by the finance team and reviewed by the finance manager. Any differences are investigated, and the finance manager signs the reconciliation to evidence their review.

Scenario 2 - Purchase system

You are an audit senior working on the audit of Anglia Sweets Ltd ('Anglia'). Anglia manufactures traditional British sweets and confectionery in its factory in Norwich and distributes them directly to retailers and indirectly through national distributors.

You have been provided with the following information and have been asked to identify and evaluate key controls and design tests of control to verify whether the controls are operating effectively.

Orders

Employees within the various user departments of Anglia determine when they need to purchase any specific raw materials or require services. The employee will create a Purchase Requisition ('PR') which is then authorised by the user department manager by electronic signature.

The buyer selects which supplier to fulfil the order. This is fully at their discretion as there is no company approved supplier list. The buyer raises a five-part sequentially-numbered purchase order ('PO') and sends one copy to the supplier, one to the accounts department, one to the user department and retains a fourth for the purchasing department's records. A report of all POs is run on a weekly basis and reviewed and approved by the purchasing manager to confirm all PO numbers have been allocated in sequence and relate to a valid company-approved PR.

Receipt of goods

All goods are received in the warehouse where a trained member of staff signs for receipt of the goods, after reviewing the quality of the goods, and raises a goods received note ('GRN'). After receipt, the GRN and proof of delivery note from the supplier are sent to the buyers to enable them to be matched to the PO.

All deliveries received in the warehouse are agreed to the PO prior to acceptance. Where there are any discrepancies, these are resolved prior to acceptance. Goods are receipted into the general ledger by the company's accounts department, once the buyers have confirmed that the GRN, proof of delivery note and PO have been matched.

Receipt and payment of invoices

Suppliers send invoices directly to the accounts department for payment. Invoices and payments are processed by two clerks in Anglia's accounts department. On receipt of the invoice, the accounts department clerks will enter the invoice details into the general ledger recognising a creditor for the amount specified on the invoice.

On a weekly basis, a payment run is created by one of the accounts clerks which includes details of payment due dates for each invoice. This data is used to extract the payment run information each week. Invoices selected for payment in the weekly payment run are marked in the creditors ledger as paid once the payment run has been processed.

The payment run is made by BACS based on a file automatically uploaded by the accounts payable clerk to the online banking system. The financial controller approves the payment in the online banking system after detailed review the individual invoices supporting the payment run.

Most suppliers send statements on a monthly basis to the accounts department but supplier queries are only dealt with as they arise and statements are filed alphabetically each month.